

Switching Costs for Customers Within the Industry

(Cost/Technology/Hassle/Habit/Knowledge/Dependency/None)

Switching between the players of the same industry that have similar offerings also involves costs. They include:

Financial Costs

 **SUZUKI**



 **Switching Cost**
High






Technological Reorientation



Blackboard

 **Switching Cost**
High




EduBoard

Psychological Costs



Offline Learning

 **Switching Cost**
High




Online Learning

Switching at times requires a lot of effort. Many times, it might even be a very complex goal to achieve. This allows established players greater pricing power over their products – by reducing the threat of new entrants.